BEACON COMMERCIAL LENDING LTD. - UNDERWRITING POLICY 2024

SECTION 1: UNDERWRITING STANDARDS AND CREDIT CRITERIA

Beacon Commercial Lending Ltd. originates secured commercial real estate and equipment loans across selected business sectors. Effective October 1, 2024, all credit facilities are governed by the following underwriting thresholds:

- Minimum Borrower Credit Score: 680 FICO score for principal guarantors. Guarantors with credit scores below 680 require secondary board approval.
- Maximum Debt-to-Income (DTI) Ratio: 43.0% calculated on trailing twelve-month verified cash flows.
- Maximum Loan-to-Value (LTV) Ratio: 80.0% for stabilized owner-occupied commercial real estate; 75.0% for non-owner occupied investment properties.
- Minimum Debt Service Coverage Ratio (DSCR): 1.25x under primary stress scenarios.

SECTION 2: LOAN PRICING, ORIGINATION FEES, AND PREPAYMENT TERMS

Beacon structures pricing according to risk tier and facility duration:

- Standard Loan Origination Fee: 1.50% of gross loan commitment amount, payable at settlement.
- Loan Documentation Fee: $750.00 flat fee charged at loan closing.
- Environmental Assessment Review Fee: $1,200.00 where applicable.
- Prepayment Penalty Structure:
  * Repayment within Year 1 (Months 1-12): 2.0% penalty of outstanding principal.
  * Repayment within Year 2 (Months 13-24): 1.0% penalty of outstanding principal.
  * Repayment after 24 Months: 0.0% penalty (no prepayment penalty applies after the completion of month 24).

SECTION 3: FACILITY SIZES AND AMORTIZATION GUIDELINES

Beacon provides debt capital within structured boundaries:

- Minimum Commercial Facility: $250,000.00.
- Maximum Single-Borrower Facility: $15,000,000.00.
- Maximum Amortization Period: 25 years with a mandatory 10-year balloon maturity or refinancing checkpoint.
- Interest Rate Basis: Floating rate indexed to 30-Day Average SOFR plus a margin ranging from 2.75% to 4.50% depending on risk tier.

SECTION 4: PROHIBITED COLLATERAL AND LENDING RESTRICTIONS

To preserve asset quality and comply with internal credit charters, Beacon Commercial Lending strictly prohibits lending against the following assets:

- Speculative undeveloped raw land lacking municipal zoning or utilities.
- Cannabis-related enterprises, dispensaries, or cultivation facilities.
- Single-purpose entertainment or casino gaming establishments.
- Residential multi-family properties exceeding 4 units (covered by separate multi-family affiliate).

SECTION 5: NOTICES AND REGULATORY DISCLAIMER

Beacon Commercial Lending is an equal opportunity commercial lender. All terms and rate commitments are subject to credit committee ratification and formal closing documentation.